

UNIT 2

AGGREGATE DEMAND AND AGGREGATE SUPPLY ANALYSIS

2.1 Aggregate Demand

At the end of this section, you will be able to:

- define concept of aggregate demand.
- describe the basic determinants of aggregate demand.
- distinguish the difference between a change in the quantity demanded and a change in demand.

2.2 Aggregate Supply

At the end of this section, you will be able to:

- define concept of aggregate supply.
- construct and interpret the supply curve.
- describe the basic determinants of aggregate supply.

2.3 Equilibrium of Aggregate Demand and Aggregate Supply

At the end of this section, you will be able to:

- define market equilibrium.
- identify the concepts of short-run and long-run equilibrium.
- analyse how the market reaches equilibrium, and the possible factors that could cause a change in equilibrium.
- differentiate between demand shock and supply shock.